

fraction of Kelly on any single trade. Once in a while, there would be an exceptional situation, and I would hit it pretty hard. One good example was ATT and the Baby Bells. Old AT&T stock was going to be exchanged for the new stock plus stock in the seven Baby Bells. You could buy the old AT&T and short the new AT&T when issued and lock in a price spread of about 3/4 percent.

How large did you put on that trade?

Five million shares, which was equal to \$330 million. It was the largest trade done on the New York Stock Exchange up until that point in time.

What was your capital base at the time?

Around \$70 million.

How did you determine what size to put on?

That was all we could get.

I assume you did the trade that large because it was the proverbial risk-free trade.

That's the way it looked, but to be clear, there are no zero-risk trades.

Do you want to expound?

There was some remote possibility that we overlooked something. There is always the possibility that there is some unknown factor.

How did you first get involved in statistical arbitrage?

In 1979, we launched a research effort that I called the *indicators project*. We looked for indicators that might have some forecasting power—items such as earnings surprises, dividend payout rates, and book to price. We had a list of about 30 or 40 of these indicators that we investigated. As part of this project, one of the researchers looked at stocks that were most up and stocks that were most down during the recent past. He found that the stocks that were most up tended to underperform the market in the next period, while the stocks that were most down tended to outperform the market. That finding led to a strategy of buying a diversified portfolio of the most down stocks and selling a diversified portfolio of the most up stocks. We called that strategy MUD for most up, most down. My friend UCI mathematician William F. Donoghue used to joke, little realizing